

Investment Credit Memorandum

Ashland CLO 2025-1 | Ashland Fiber Mills | 24 February 2025

1. Recommendation

Credit committee is asked to approve a \$7,000,000 allocation of the Ashland Fiber Mills first-lien term loan into the Ashland CLO 2025-1 warehouse, and to roll that position into the CLO at closing. The borrower is Ashland Fiber Mills, headquartered in Richmond. The financial sponsor is Greenmast Capital. Analyst: Diego Vargas. Committee chair: Robert Lang. Portfolio manager: Amina Solace, Beacon Hill Credit LLC.

Recommendation: Approve at a maximum par of \$7,000,000 (1.75% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Ashland CLO 2025-1 indenture. Moody's corporate family rating is Caa1. S&P issuer credit rating is CCC+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 6 March 2025.

2. Borrower and sponsor

Ashland Fiber Mills operates in Paper. The company is owned by Greenmast Capital. Neither the sponsor nor the borrower is affiliated with Beacon Hill Credit LLC.

Related book names in Ashland CLO 2025-1 include James River Chemicals, Piedmont Auto Glass. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Ashland Fiber Mills first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. East Pier Bank is the warehouse lender to Ashland CLO 2025-1.

Investment Credit Memorandum

Ashland CLO 2025-1 | Ashland Fiber Mills | 24 February 2025

4. Credit highlights and risks

Highlights: sponsor support from Greenmast Capital, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Paper and add-on acquisition risk. Diego Vargas confirmed that Moody's industry classification for Ashland Fiber Mills is 'Paper'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated Caa1. It uses 1.75 of the 2.00 percentage-point largest-obligor covenant. Amina Solace confirmed the trade for Ashland CLO 2025-1.

If Ashland Fiber Mills is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Ashland CLO 2025-1 indenture. U.S. Bank Trust Company, N.A. would reflect that classification on the next monthly trustee report. Beacon Hill Credit LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Beacon Hill Credit LLC approved the \$7,000,000 purchase for the Ashland CLO 2025-1 warehouse on 24 February 2025. Voting members: Robert Lang (chair), Amina Solace, and Diego Vargas. The trade will settle into the East Pier Bank warehouse and be conveyed to Ashland CLO 2025-1, Ltd. on the closing date of 20 March 2025.